Lagged Relationship Stability Test

Comparing economic relationships across 0-, 3-, 6-, and 12-month lags.

Pre-Pandemic Lag Relationships (2010 - 2019)

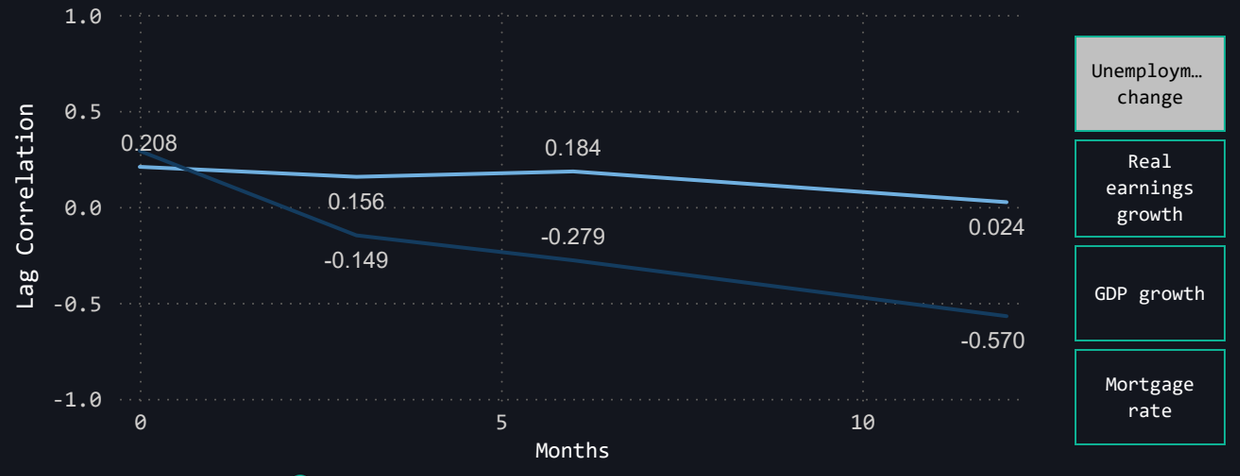
Predictor	0m	3m	6m	12m
Unemployment change	0.208	0.156	0.184	0.024
Real earnings growth	-0.135	-0.173	-0.152	-0.016
GDP growth	-0.412	-0.320	-0.226	-0.066
Mortgage rate	-0.316	-0.346	-0.251	-0.214

Post-Pandemic Lag Relationships (2022 - 2026)

Predictor	0m	3m	6m	12m
Unemployment change	0.291	-0.149	-0.279	-0.570
Real earnings growth	-0.275	-0.605	-0.694	-0.711
GDP growth	0.057	0.285	0.458	0.662
Mortgage rate	0.488	0.081	-0.241	-0.601

Positive relationship Negative relationship

Correlation by Lag — Unemployment change



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Real earnings: Strength across periods

At a six-month lag, the correlation with insolvency growth changed from −0.152 before the pandemic to −0.694 afterward. The association remained negative but became considerably stronger in the later period.

Unemployment: Leading relationship reverses

At a six-month lag, the correlation between unemployment changes and consumer insolvency growth shifted from +0.184 before the pandemic to −0.279 afterward. This reversal indicates that the historical association did not maintain its direction across periods.

Mortgage rates: Stability depends on lag

The six-month mortgage-rate correlation was similar across periods (−0.251 and −0.241), but the other tested lags showed substantially different relationships. Stability at one lag does not imply stability across the entire period.

GDP: Persistent reversal across tested lags

GDP growth maintained negative correlations with subsequent insolvency growth